RH

RH, Q4 2025 Earnings Call, Apr 02, 2025

Wed Apr 02 2025 Earnings Call Transcript

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Summary NEW

Key Takeaways

RH's Q4 2025 earnings call, held on April 2, 2025, focused on the company's positive inflection, industry-leading growth driven by product transformation, and platform expansion. Management discussed the macroeconomic environment, including tariffs and the housing market, and provided financial guidance for fiscal year 2025 and Q1. They also highlighted strategic investments, international expansion, and a new brand extension.

Q & A Highlights

The earnings call Q&A session focused on several key themes: the outlook for the **consumer** and the **housing market**, the impact of **tariffs** and **sourcing strategies**, **guidance** and **financial performance**, **international expansion**, **clearance activity**, and **product newness**. Analysts probed into how **RH** is navigating the uncertain macroeconomic environment, managing costs, and positioning itself for long-term growth. Management provided insights into their strategic responses, emphasizing adaptability, innovation, and a focus on long-term value creation.

Consumer and Housing Market Outlook

- **Q: How do you see the outlook for the consumer, given the recent slowdown in consumer sentiment and the lack of a turn in the housing market?**
- A: Management stated that they don't have specific insights into individual consumer behavior but acknowledged the recent news indicating uncertainty. They emphasized that their focus is on how **RH** will react to the consumer environment and highlighted the company's history of performing well in times of crisis due to its ability to innovate, adapt, and overcome challenges. They expressed confidence in their ability to succeed regardless of the environment, citing their strong performance compared to competitors in the worst housing market in **50 years**.
- **Q: How are legacy galleries performing, and how much of the demand growth is coming from design galleries versus legacy galleries?**
- A: Management mentioned that all galleries are performing well, with no significant differences in comps between legacy and design galleries. They also stated that they are happy with all the galleries and are opening more galleries of new kinds, including design ecosystems and compounds.

Tariffs and Sourcing Strategies

- **Q: Could you expand on the comment that inventory is your friend, especially as we try to assess exposure to Vietnam, Indonesia, and India, and what is RH's ability to mitigate, migrate, and derisk the situation with tariffs?**
- A: Management explained that having inventory is beneficial during a product transformation to bridge between legacy and new products. They also stated that they believe the tariffs are a negotiation tactic and may not completely stick. They highlighted that **RH** has been manufacturing upholstered furniture in the **U.S.** for over **10 years** and is expanding capacity. They believe that the tariff situation will ultimately be beneficial for **America** in the long term, and that **RH** will thrive because they can outthink, outsmart, out-create, and out-innovate others.
- **Q: Have you already started to take price in reaction to some of the tariffs that have already been levied, and when do you start to take price in reaction to what was just announced?**
- A: Management responded that they are not going to do anything right now, as they have inventory and are well-positioned. They emphasized that it is a time to think more and do less, to invent, innovate, and develop a compelling vision. They also stated that they want to take some time to analyze the situation before moving forward.
- **Q: What is embedded in your revenue and margin guidance as it relates to tariffs, and are there any one-time costs that we should be thinking about as you reposition your supply chain?**
- A: Management stated that the guidance includes the previously announced tariffs on **China**, **Mexico**, and **Canada**. They reiterated that it is not a time to overreact and that the current situation is part of a high-level strategic negotiation. They also predicted that there will be concessions and that the tariffs will not continue at the current level.

Guidance and Financial Performance

- **Q: Should we interpret the potential need to be more conservative with guidance as a signal that we should go to the lower end of the guidance, and if that's the case, how would you think about the need to raise capital or utilize some of the assets that you have at your disposal?**
- A: Management responded that they wouldn't go below the provided guidance and that there are many potential actions at the government level. They also stated that they don't need to raise any capital, that cash flow will be strong, and that they have real estate assets that can be monetized if needed.
- **Q: Thinking about the controllable cost outlook, are product margins still inflecting, so is that going to be a majority in gross margin, or are we going to see a lot in SG&A because you've lapped the investments, and is there anything related to the disconnect on cost growth in 1Q, such as timing around the advertising investments or something like that or delivery?**
- A: Management stated that they mailed **two books** in **Q1**, which increased advertising expenses. They also mentioned that the guide speaks for itself at the operating income level and that there are positive factors in both gross margin and **SG&A**, but they can't speak to the magnitude.
- **Q: Looking at the fourth quarter, if you could give us some perspective on the margins in the quarter relative to your expectations that came in a bit light, where sales were still at the low end of your guided range, and any perspective on what happened from a margin standpoint in the quarter would be great?**
- A: Management stated that product margin was still up year-over-year in the quarter, but some expenses came in higher than expected.
- **Q: When we think about advertising for the balance of the year, should we be thinking about it being down relative to the last 3 quarters of last year, or any other transitory costs that you would call out as we think about the quarterly cadence?**
- A: Management responded that they are not guiding advertising, but to look at the operating margin for the year, which incorporates their views of advertising. They also stated that the first quarter is the highest quarter from an ad cost point of view.
- **Q: Can you just walk us through what is embedded in your revenue and margin guidance as it's related to tariffs?**
- A: Management stated that the guidance includes the previously announced tariffs on **China**, **Mexico**, and **Canada**.

International Expansion

- **Q: What are you seeing in terms of trends in the international side of the business, to what degree do you worry about any backlash about American perceived brands, how do you think about the openings that you have this year, and what risk, if any, there might be inside [delays some]?**
- A: Management acknowledged the potential for backlash against American brands and the possibility of construction delays. They stated that communication and messaging are key and expressed hope that the administration's message of balancing trade will resonate with people in other countries. They also stated that any construction delays would not be a big deal and that they don't think the backlash will be significant.
- **Q: The London store is being delayed to 2026, can you talk about what the reason for that is, and does that would imply that some of the investments get pushed out to 2026?**
- A: Management responded that it is due to the complexities of doing big, complex development jobs. They also stated that they don't think the best time to open is in mid- to late **December**, so they will probably open it sometime early spring.

Clearance Activity

- **Q: How should we think about clearance activity going forward here?**
- A: Management stated that clearance activity is related to the economy, with more markdowns in a down market. They also mentioned that the amount of new products being brought in affects clearance activity.
- **Q: How have those markdowns been fueling the acquisition of new customers for RH versus incremental spend from existing customers, given that the year ended with 265,000 members, down a bit versus the prior year?**
- A: Management stated that you're just going to have more markdowns in a down market. They also stated that people buy less things in a bad market, and they will buy more things on sale.

Product Newness

- **Q: As you look at what's coming in for 2025 to drive demand, where do you see the most incrementality, thinking the interior sourcebook that was mailed this year seemed like you have a lot of newness, but I know you also have some things planned for the back half, so can you share some thoughts on where do you think will be the most significant ones?**
- A: Management stated that they are nowhere near optimizing the assortment they have right now and that they have so much newness that they're optimizing. They also stated that they can really cut back on receipts until they have clarity.
- **Q: In terms of the sourcing diversification, it sounds like you're looking to bring half of your sourcing – near half of your sourcing to the U.S. by the end of the year, probably could drive some improvement in the consumer experience in terms of maybe delivery speed and maybe some other factors, could you just kind of comment on that in terms of ancillary benefits for the consumer from what you're doing from a sourcing perspective?**
- A: Management clarified that this applies to the upholstery category, not the entire business.

Show The Company's Guidance And Outlook

RH's Q4 2025 earnings call provided financial guidance for the full fiscal year 2025 and the first quarter, along with an outlook on various factors influencing the business. The company anticipates revenue growth and has set targets for adjusted operating and EBITDA margins. Their outlook addresses potential risks from tariffs, market volatility, and inflation, while also highlighting strategic investments and expansion plans.

Call Participants

EXECUTIVES

Gary G. Friedman
Chairman & CEO

Jack M. Preston
Chief Financial Officer

ANALYSTS

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Unknown Analyst

William Andrew Carter
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Presentation

Operator

Good day, everyone, and welcome to the RH Fourth Quarter and Fiscal Year 2024 Earnings Call. I would now like to turn the call over to Ms. Allison Malkin. Please go ahead, ma'am.

Allison C. Malkin
Senior Managing Director

Thank you. Good afternoon, everyone. Thank you for joining us for our fourth quarter and fiscal year 2024 earnings conference call. Joining me today are Gary Friedman, Chairman and Chief Executive Officer; and Jack Preston, Chief Financial Officer.

Before we start, I would like to remind you of our legal disclaimer that we will make certain statements today that are forward-looking within the meaning of the federal securities laws, including statements about the outlook of our business and other matters referenced in our press release issued today. These forward-looking statements involve a number of risks and uncertainties that could cause actual results to differ materially. Please refer to our SEC filings as well as our press release issued today for a more detailed description of the risk factors that may affect our results.

Please also note that these forward-looking statements reflect our opinions only as of the date of this call and we undertake no obligation to revise or publicly release the results of any revision to these forward-looking statements in light of new information or future events.

Also, during this call, we may discuss non-GAAP financial measures, which adjusts our GAAP financial results to eliminate the impact of certain items. You will find additional information regarding these non-GAAP financial measures and a reconciliation of these non-GAAP to GAAP measures in today's financial results release. A live broadcast of this call is also available on the Investor Relations section of our website at ir.rh.com.

With that, I'll turn the call over to Gary.

Gary G. Friedman
Chairman & CEO

Thank you, everyone. Well, welcome to the new world, one where at least at this moment, inventory is your friend. I'm going to say maybe I just shouldn't read the letter, but heck, let's go through it, and we'll kind of improvise, adapt and overcome as we're reacting live time with all of you.

To our people, partners and shareholders, the important work and substantial investments we've made over the past 2 years are now resulting in meaningful share gains and significant strategic separation, positioning the RH brand to expand its leadership position across the luxury home market over the next decade. The positive inflection of our business continued to accelerate in the fourth quarter, with revenue up 18% and adjusted operating income increasing 57%, in each case on a comparable 13-week basis, outperforming other home furnishings businesses by a wide margin as the most prolific product transformation and platform expansion in the history of our industry continues to unfold.

Our industry-leading growth in the quarter was driven by the RH brand where fourth quarter demand increased 21%, demonstrating the disruptive nature of our product transformation. While demand softened in mid-December after mortgage rates spiked and mortgage applications fell 22% post the Fed signaling rates would remain largely unchanged this year, the RH brand demand stabilized at up 19% in January.

While we expect a higher risk business environment this year due to the uncertainty caused by tariffs, market volatility and inflation risk, we believe it's important to separate the signal from the noise. The fact is we've been operating in the worst housing market in almost 50 years.

For context, in 1978, there were 4.09 million existing homes sold when the U.S. had a population of 223 million. Contrast that to 2024 were 4.06 million existing homes sold with a population of 341 million, and it illuminates just how depressed the housing market has been this past year.

Despite that fact, we are performing at a level most would expect in a robust housing market. We believe it's a result of investing with a very narrow focus and a long-term view or what we like to call, "An inch wide and a mile deep." Elevating and expanding our platform by creating the most desired products presented in the most inspiring spaces in the world with bespoke interior design services and beautiful restaurants that generate energy, engagement and tremendous awareness of the RH brand while also serving as a profitable customer acquisition vehicle. Our intentions and attention to detail in everything we do, and in every house we turn into a home.

While we ended the year with meaningful debt, mostly due to our stock repurchases of $2.2 billion, we also ended the year with incredible business momentum and meaningful assets. These assets include real estate that we believe has an estimated equity value of approximately $500 million, which we plan to monetize opportunistically as market conditions warrant and excess inventory of $200 million to $300 million at cost that we plan to turn into cash as we optimize our assortments post our product transformation. Inclusive of our plans for significant and growing cash flow from operations, we remain confident in our ability to make the necessary investments to continue our industry-leading growth while paying down debt and lowering interest expense.

Now let's look at -- shift to our outlook. Based on our current plans and the uncertain macroeconomic environment, we are providing the following financial outlook for the full year and first quarter. For the fiscal year 2025, we're forecasting revenue growth of 10% to 13%, adjusted operating margin of 14% to 15%, adjusted EBITDA margin of 20% to 21%. In the first quarter, we're forecasting revenue growth of 12.5% to 13.5%, adjusted operating margin of 6.5% to 7%, adjusted EBITDA margin of 12.5% to 13%. The above outlook includes a negative 160 to 200 basis points of operating margin impact from investments and start-up costs to support our international expansion.

Every act of creation is first an act of destruction, Pablo Picasso. We have worked hard to destroy the former version of ourselves and are in the process of unleashing what we believe is an exponentially more inspiring and disruptive RH brand. We believe the important investments we are making during this depressed housing cycle are creating a level of strategic separation in our industry that rivals the most important brands in the world.

Our product transformation plans for 2025 include the introduction of our new RH Outdoor Sourcebook, featuring the most dominant assortment of high-quality outdoor furniture in the world, arrived in homes early February with 8 furniture collections and exciting new textiles offering, plus a significantly improved in-stock position to start the season versus a year ago. The introduction of our new RH Interiors Sourcebook arrived in homes mid-February through early March, featuring 42 new collections across furniture, upholstery, lighting, rugs and textiles as well as an additional 15 new collections launched on rh.com. While we had planned a higher amount of new collections for this book due to the rapidly changing economic outlook, we believe it was prudent to delay some of our introductions until later this year.

The launch of the significant new brand extension in the fall of 2025 that we believe will meaningfully expand the market size and share of the RH brand. This new brand extension will include a new Sourcebook, a significant website presence and 2 freestanding galleries dedicated to the New Concept. Our plan includes integrating RH Couture Upholstery by Dmitriy & Co and RH Bespoke Furniture by Joseph Jeup into this new brand extension, enabling greater exposure and market reach versus stand-alone concepts. We will be sharing more details of this exciting new venture during our first quarter earnings call.

As communicated last quarter, we do not expect a negative impact to results related to previously announced increased tariffs on products from China, Canada or Mexico. As it relates to reciprocal and other tariffs that will be announced and have been announced today, as we've done with prior tariffs, we'll be working with our manufacturing partners to mitigate the impact to both our margins and cost to our customers.

We believe it is also important to note that we have been manufacturing upholstered furniture in our own North America -- North Carolina factory for over 10 years and have recently expanded this facility doubling our capacity. We are currently projecting that 48% of our upholstered furniture will be produced in the U.S., 21% of our upholstered furniture will be produced in Italy and 14% of our total business will be produced in the U.S. at the end of this year.

Now let me shift your attention to the expansion of our platform. We continue to open the most inspiring and immersive physical experiences in our industry and some would say the world. Spaces that are a reflection of human design, a study of balance, symmetry and perfect portions. Spaces that blur the lines between residential and retail, indoors and outdoors, home and hospitality. Spaces with garden courtyards, rooftop restaurants, wine and barista bars. Spaces that activate all of the senses and spaces that cannot be replicated online. Our plan to expand the RH brand globally, address new markets locally and transform our North American Galleries represents a multibillion dollar opportunity.

Our platform expansion plans for 2025 include the opening of 7 Design Galleries, 2 Outdoor Galleries, plus 2 New Concept Galleries. The 7 new Design Galleries are RH Oklahoma City, The Gallery at the Oak and RH Montreal, The Gallery at Royalmount, both opening in the first half of this year. RH Paris, The Gallery on the Champs-Élysées, RH Detroit, The Gallery in Birmingham, RH Manhasset, The Gallery at The Americana, RH San Diego, The Gallery at University Town Center and RH Palm Desert, The Gallery on El Paseo are all opening in the second half of this year.

Additionally, we plan to expand our brand presence in Greenwich, Connecticut by developing a multi-building RH Design Ecosystem inclusive of the existing RH Gallery at the Historic Post Office, a freestanding RH Outdoor Gallery that opened last month plus a New Concept Gallery in the former Ralph Lauren building on Greenwich Avenue opening in the second half of this year. We also plan to expand our brand presence in East Hampton this summer by opening a freestanding RH Outdoor Gallery and are exploring plans to further enhance our Design Ecosystem with a New Concept Gallery in the near future.

As previously communicated, we anticipate an inflection of our business in Europe as we begin to open in the important brand building markets of Paris in 2025, plus London and Milan in 2026, all with dramatic and brand-building hospitality experiences. We believe post each opening, we will begin to have the scale to support the necessary advertising investments to accelerate our growth in Europe.

Every moment has a lunatic fringe, quite appropriate for today, Theodore Roosevelt. America's first Noble Prize winner, Commander of the legendary Rough Riders. Medal of Honor recipient. Promoter of the Conservative Movement. Leader of the Progressive Movement. Noted for his exuberant personality and ranked by scholars as one of our greatest presidents. Theodore "Teddy" Roosevelt proclaimed in his famous speech at the Sorbonne.

"It is not the critic who counts; not the man or woman who points out how the strong man stumbles, or where the doer of deeds could have done better. The credit belongs to the man or woman who is actually in the arena, whose face is marred by dust and sweat and blood; who strives valiantly; who errs and comes up short again and again, because there is no effort without error or shortcoming; but he or she who actually strives to do the deeds; who knows the great enthusiasms, the great devotions; who spends himself in a worthy cause; who at his best knows in the end the triumph of high achievement, and who at his worst, if he fails, at least fails while daring greatly, so his place shall never be with those cold and timid souls who neither know victory nor defeat."

While our ambitions are not political, maybe they should be, they are personal. We remain inspired by the progressive thinkers, unafraid to push forward new ideas and fresh perspectives. It's a culture of leadership versus follow-ship, innovation versus duplication, enlightenment versus ego. It's believing none of us are smarter than all of us, that we need all the brains in the game and the egos out of the room. It's about thinking until it hurts, until we can see what others can't see so we can do what others can't do.

That's how you transform a money-losing Restoration Hardware store in Aventura Mall in Miami that did $2 million in annual sales into an RH Gallery that does $44 million in the exact same space with the exact same square footage. It's also how we'll transform that $44 million legacy gallery into $100 million plus RH Design Compound, a yet to be unveiled multi-building design resort of sorts in the parking lot of the same shopping center.

Over 20 years ago, we began this journey with the vision of transforming a nearly bankrupt business that had a $20 million market cap and a box of Oxydol laundry detergent on the cover of its catalog into the leading luxury home brand in the world. The lessons and learnings, the insights and intricacies, the sacrifices made and the scar tissue developed by getting knocked down 10x and getting up 11 leads to the development of the mental and moral qualities that build character in individuals and form cultures and organizations, lessons that can't be learned in a classroom or by managing a business, lessons that must be earned by building one.

Are we part of the lunatic fringe? If it means, as President Roosevelt said in his speech at the Sorbonne, that "our place shall never be with those cold and timid souls who know neither victory nor defeat," and put us in that arena. Onward, Team RH. Carpe diem.

Operator, I'll now open the call to questions.

Question And Answer

Operator

[Operator Instructions] We'll go first to Simeon Gutman, Morgan Stanley.

Unknown Analyst

This is [Pedro] on for Simeon. My question is how you see the outlook for the consumer. It seems we've seen a slowdown in consumer sentiment year-to-date and the housing market is not seeing a turn yet. Last year, we saw early signs of an inflection, but now it seems things have been delayed again. So could you give us a bit of an update on how you see things developing over the spring and the summer season? And related to that, how are legacy galleries doing? How much of demand growth is coming from the design galleries as opposed to the legacy galleries?

Gary G. Friedman
Chairman & CEO

Okay. Let me break that down. So how do we see the consumer -- I mean, unfortunately, we don't know those individuals exactly and don't talk to them at any kind of personal level of how they're doing. But I'd say, look, everybody saw the recent news, just as we were ready to break through this call. And look, it's one of those signs of uncertainty. It's one of those times where it's not so much I think what the consumer is going to do, I think it's how we're going to react to the consumer environment and what we're going to do. And so I think if you look at our history, which is -- this is my 25th year -- going on 25 years in the company, we thought we saw it all until today. So this is the new one.

But we have a history of really performing in times of crisis and thriving in those times and have the ability to improvise, adapt and overcome. We -- at our core, we are innovators. We're not duplicators. We're leaders. We're not managers. We're visionaries, and we're not victims. So whether it's confused or conflicted consumer environment because of high interest rates or new tariffs or trade wars or military wars, I mean there's always something. And so I mean, look, we feel confident no matter what the environment looks like. We -- I just articulated in the letter that we just -- we just anniversaried really the worst housing market in 50 years since 1978.

How did we do versus everybody else? Very different. What's our trends versus everybody else? Quite different. So maybe that's a better question for everybody else who maybe tries to talk to consumers and see how they're feeling. We focus on our work and to try to create the most desirable products presented to the most inspiring spaces, whether they're physical spaces, digital spaces or print experiences. And I think we do that better than anybody in the world. So now the game has changed somewhat, but I wouldn't want to compete with us in any environment.

So legacy galleries versus design galleries, they're all performing well so not that much different in the comps. I mean there's some places that obviously might be doing better than others at different times for different reasons. But yes, we're happy with all the galleries. We're opening more galleries. We have new kinds of galleries. We have design ecosystems, design compounds. We've got a lot of things coming. So tariffs are not. Here we come.

Operator

We'll take the next question today from Steve Forbes, Guggenheim.

Steven Paul Forbes
Guggenheim Securities, LLC, Research Division

Gary, your initial comment, I think, was inventory is your friend. And so I would love to sort of hear you expand on that initial thought especially as all of us, right, sort of try to do the exposure math to Vietnam, Indonesia and India. Just sort of what should be the parting message here on sort of RH's ability to sort of mitigate, migrate and derisk the situation that was just thrown at all retail operators?

Gary G. Friedman
Chairman & CEO

Sure. Let's start with the inventory is your friend. Going through the kind of massive product transformation we've been going through. When you're making big changes in our assortment, not normal newness, right? And we introduced hundreds of collections over the last couple of years and you want to create the right bridge, right? You want to not sell out legacy products before you understand what's happening in new products.

You want to make sure in new products in enough cases where you feel it's going to be in the top half of your assortment, you want to have that inventory, right? Because furniture, you can't respond to quickly. So we knew we were going to make about $100 million insurance bet on inventory on the front end of this. And we expected trends to be better. We are expecting our comps in the housing market to kind of come back. I mean I think everybody had a sense that inflation looked like it was coming under control and interest rates were easing and that 25 would be the next upswing to the housing market.

So like, look, we were all wrong. I mean -- and even at the Fed, they're almost always wrong. Being wrong is all part of invention and innovation and going somewhere you've never been and moving into the future, right? So I think while today's tariff news was, yes, somewhat shocking, right? I think we -- I think most of us we're expecting, okay, maybe we'll get 25% tariffs, but it's not logical, right? If you're the current administration, if you're Trump, if you read the Art of the Deal, I mean look, he knows how to use leverage and he has leverage. And you don't have to do too much work to find out, well, where did all the manufacturing move to from China, well, we moved to Vietnam, Indonesia, Cambodia and other countries.

And those manufacturers moved and made investments in built-up operations and yes, it's devastating for people that invested big tons of money to relocate. But there's -- the U.S. has leveraged today. I don't -- I mean leverage is how you win negotiations, not bluffing. So I don't think -- I think my view is I don't think these tariffs are going to completely stick. I think if you're in these other countries, you're going to start playing the few cards you have. And they might try to bluff, they might try to play a few cards. But you're either going to implode as an economy in these countries or you're going to balance the trade economics. And I think that's what the administration wants.

I think it's just a little shocking because we've never seen an administration and a leader like Trump. I mean it's impressive, quite frankly, usually, governments move like glaciers and he's quite the opposite. So exactly how it's going to play out, I don't know. I don't think it's time to overreact. I think we all believe that China was going to be a long-term problem. And so moving out of China was important. Now it looks like moving out of China didn't make a difference, right? I guess it did because there was another tariff on China.

Yes. So look, I think basically that the game has changed and now it kind of doesn't matter where you go. I mean, except America, right, and the U.S., which we've been building our facility and expanding doing other work and have other facilities in Los Angeles and things like that, that we acquired through acquisitions. And America can make furniture and that might be part of it and part of it might be these countries, after we ask some of the demands, which are, by the way, all fair demands in a lot of ways, right? If you just look at the math and look at the numbers, it's kind of -- I mean, everybody else has a bad hand because not only is there leverage but the information says, "Hey, it's not fair."

So I'm not critical of any of it. I actually think, long term, it's going to be great for America, quite frankly. I think it's just caught the world off guard because no one's ever moved at this speed. No one's -- I mean we're seeing a new kind of leadership, which, again, in many ways, I think, is impressive. So forget what anybody else's personal views are on form. I'd say, look at the content, the content for America. The content of the decision for America is a really good thing long term. So from that point of view, I mean, is it going to be messy? Yes, but it's messy for everybody, right? And so these are the times where we thrive because I think we can outthink others, we can outsmart others, we can out-create others, we can out-innovate others.

So let's see what went on. I'm going to -- quite frankly, on the phone to Jack, and I'm in my car and he's telling me what happened, and I just started laughing. I thought, okay, show time. This is when we thrive. We're at our best in times like this. And so it's exciting times. You still have to compete. The playing field is the playing field. Nobody of any scale is not sourcing out of Asia, except for maybe Ethan Allen, they have a smaller percentage, but they don't really have our platform and capabilities. So I'm not too worried about any of that. I mean I'm more excited to get off this phone and get to work. It's exciting times. So...

Steven Paul Forbes
Guggenheim Securities, LLC, Research Division

And then just a quick follow-up for Jack. I think the company has sort of spoke to the return of positive free cash flow in 2025, maybe all this is in flux a little bit, but any way to sort of help us frame up the free cash flow outlook inclusive of how to think about winding down that inventory excess?

Gary G. Friedman
Chairman & CEO

Yes. I mean, we're just not going to have a lot of receipts coming in at really high prices, right? So it starts there. We've got a lot of inventory at really good prices. We've got to kind of rethink some of the newness maybe the new concept that I wrote about might get delayed until we have some clarity, but also the investments get delayed and the complexity gets delayed. So I don't think about that like that's going to hurt the business per se. I mean we'll just focus in other ways I think a lot of the goods and development are coming from countries that have prohibitive tariffs.

So again, it could all change in 30 days. Some of these countries to go from 45% to 25%, which is very manageable. 45% is much tougher, and the administration knows that. So I'm actually glad if this wasn't a death by 1,000 cuts, right? I'm glad it then go, oh, it's 15%. And okay, hey, just hitting, it's 25%. Hey, it's now 35%, now it's 45%, and because you don't have clarity. I think what -- again, I applaud the clarity, the intention and the logic. So I'm -- again, I'm just excited now to -- we're around here. We're not scared. We're smiling. Like we're kind of like okay, let's go. It's a new world. It's a new day. We're at our best in times like these. Yes, I wouldn't want to compete with that in times like these.

No one is going to outwork us. No is going to outthink us. No one is going to out-create us, out-innovate us. It's -- so just in general, I'm not too worried about it. I don't think our business is going to collapse and say, like inventory is our friend. I get $200 million to $300 million of inventory that my competitors don't. They might have to do some ordering at very expensive pricing. And we can navigate through this really well in the short term. So I feel pretty good about this year. I mean we got to get into the details, and there might be some polls here and there. But again, there's always another move, right? There's just always another move in times like these. And so I'm just excited about finding the other moves way before any of our competitors do. So fun time.

Operator

Up next is Michael Lasser, UBS.

Michael Lasser
UBS Investment Bank, Research Division

Gary, have you already started to take price in reaction to some of the tariffs that have already been levied? And when do you start to take price in reaction to what was just announced in the last couple of hours?

Gary G. Friedman
Chairman & CEO

I don't think we're going to do anything right now. Like I said, we've got inventory. We're well positioned. Like it's not -- this is -- these are the times when you want to do less and think more so you can do more, right? This is not a time to panic, not a time to react. It's the time to think invent, innovate and develop a compelling vision for times like these. But I think it's -- again, we saw -- we've seen tariffs go on, go off, go up, go down, like it's going to move around. I don't -- it is not just tariffs, right? This is what did they say in the movie, Thirteen Days, when he was talking to one of the advisers, this is the Cuban Missile Crisis. This is President Kennedy talking to Gorbachev, right? These are signals. These are moves. You got to kind of motor up and see the whole Board right now. You got to kind of understand where everything might be going.

Did we anticipate this? Not at this level, but that's okay. I have more of an edge now. I don't like being caught off guard. So now we're just going to kind of take some time. Don't move until you see it. So we got to take some time to see it and then we'll move.

But we've got a lot of inventory that we own. That's a really good pricing. That's a really good margins. Our business has a good business trend. Is the consumer going to stop buying tomorrow? I mean is this going to be like 2008, '09 housing prices? Or like -- I don't think so because I don't think anybody really understands what's going on at a very deep level. I think it's going to take a while to digest. So the housing market was already bad. Is it going to get worse? I don't know. I mean it's never been worse in my lifetime. So could it get worse? It might.

Is that terrible? No. I mean we can navigate through any situation. We're in a really good position. We gave guidance that was appropriate for the moment. Maybe we would have been even more conservative had we known. But I don't know if we would have because I don't know how much impact this is going to have on us even if it stays in place all year. Not sure yet. I want to take some time to analyze it. So that's it.

Michael Lasser
UBS Investment Bank, Research Division

Got you. My follow-up question is on your point about guidance, you might have been a bit more conservative had you had the full benefit of insight into all the policy announcements. With that being said, should we interpret that as a signal that we should go to the lower end of the guidance? And if that's the case, how would you think about the need to raise capital or utilize some of the assets that you have at your disposal?

Gary G. Friedman
Chairman & CEO

Yes. I mean I wouldn't go -- I don't think I'd go below the guidance that we've given, not today. Like I -- I think there's a lot of things that can be done and a lot of moves that are going to be made at the government level, right, around the world. And a lot of things are going to be made at the strategic level with government countries, the strategic level of manufacturers and retailers and people are going to get really creative. That's what they do in times like this. Humans, we're not the biggest or strongest, but we're the ones most adaptable to change, right? So change is kind of right up their alley, right? So I mean, if I was someone who's managing like some business that doesn't innovate or invent and they're kind of grinding the wheel and forecasting 2% for this or that.

Yes, like they're going to have a harder time figuring this stuff out. So I think we're good. We don't need to raise any capital. We've got -- I think we're in good shape. The cash flow is going to be strong this year. And we have -- we'll see how the real estate market is. We've got real estate assets we can turn into cash. So I mean we just turned one of the buildings into cash. We had a building we had an Aspen that was purchased for $10.5 million or something like that, $10.5 million, we just sold for $27 million. Yes. And so we were going to build a house on it and the housing -- the construction costs in Aspen became prohibitive. It didn't look like a good investment if someone buy this old house. we're almost 3x what we paid for it.

So our JV partner and our side decided to monetize that. We have 32 properties, I think in Aspen. 31 now maybe. We have galleries that we own in different places in the United States. We have Cleveland, Detroit, but many others, several others. RH England, we own the Guesthouse in New York. It was [an episode of] property. So we're fine. We have assets that we can turn into cash if it's appropriate. But it's not -- we're not in any kind of fire sell mode. We have -- this is not like a company that's doing 5% to 8% operating margin going into something like this. I mean we have a lot of levers. We can slow down spending. I mean never mind. All right. Scott waved off anyway, Michael.

Operator

And the next question is Max Rakhlenko, TD Cowen.

Maksim Rakhlenko
TD Cowen, Research Division

So maybe just following up on the guidance question. Can you just walk us through what is embedded in your revenue and margin guidance as it's related to tariffs? And then just any onetime costs that we should be thinking about as you reposition your supply chain?

Gary G. Friedman
Chairman & CEO

Yes. I mean what's embedded is what we talked about, right? And so that China, Mexico, Canada tariffs...

Maksim Rakhlenko
TD Cowen, Research Division

Basically what we knew before today...

Gary G. Friedman
Chairman & CEO

Basically what we knew. I mean we think our guidance is on the conservative side. But what you should be modeling to re-architect supply chain, like I'm asking to hear what I just said in the first 30 minutes, I said it's not a time to overreact. This is Donald Trump talking to every other President or Prime Minister around the world, right? This is high-level strategic negotiation. You got to think about who has the leverage here. The U.S. has been you can -- you look at the numbers, you say the U.S. has been in a disadvantage, not really treated fairly. Does it have to go to a complete balance? No.

But just because of the trade imbalances, I mean, it's like us funding the growth of other economies. And I think the administration is saying is we want to balance that out. We don't want to pay for everything. We don't want to be the only ones investing in military and protection. We want to have more fair and balanced trade policies. It's not. This is the move he made and this is it. This is the first part he's played globally. New part.

Mexico and China are neighbors. Not Mexico and China, Mexico and Canada. And China, that has been the single place of tariffs. This is now a global negotiation. And I don't know, I think I would predict that there will be concessions and this -- I don't believe it's going to continue at this level. It may for longer than we think, but I mean it can't be good for the other side, right? It's really -- it can't be good. And so I think we've got very smart administration negotiating at a level we haven't seen any administration, at least in our lifetimes, negotiate. So I think it's not a time -- it's like say to our team, don't move until you see it. Take your time. This is a chess game, not a checker game.

Maksim Rakhlenko
TD Cowen, Research Division

Got it. That's helpful. And then just can you provide any color on the quarter-to-date demand? And just given the volatility in the stock markets, just how we should think about the impact that you might be seeing? And then just how should we think about the excess backlog and sort of the demand that's been quite strong that we've seen over the past couple of quarters flowing into revenues here?

Gary G. Friedman
Chairman & CEO

Well, we said we were going to only give demand for last year. I wrote that pretty clearly in the earnings letter at this time last year because of the product transformation and the dislocation between demand and revenues. So we've now anniversaried that. So I gave you kind of a look at January, right? And from a demand point of view because that was still last year. But looking forward, we're no longer going to give demand. We'll give revenue guidance, which is generally directionally in line with demand. So it might change from quarter-to-quarter. You might have some things that ship across quarters somewhat differently, but it's usually not a big disconnect. So...

Jack M. Preston
Chief Financial Officer

And Max, I would add as an example that in Q4, the gap narrowed. So with Q4 revenues on a comparable 13-week basis, up 18% and Q4 totaled demand growth up 17%. So that, in essence, normalizes the backlog piece that we were talking about and support the point that Gary just made.

Gary G. Friedman
Chairman & CEO

Yes. Thank you, Jack.

Operator

We'll go to Andrew Carter, Stifel.

William Andrew Carter
Stifel, Nicolaus & Company, Incorporated, Research Division

So a quick question on kind of looking at the controllable cost outlook here. You've got, I think, about my math here, you got -- I mean, you got 7% to 8%. You've got revenue growth of 10% to 13%. Is -- are product margins still inflecting, so is that going to be a majority in gross margin? Or are we going to see a lot in SG&A because you've lapped the investments? And then the second question around the timing. There's more of a disconnect on cost growth in 1Q. Is there anything related to that? Is that timing around the advertising investments or something like that or delivery? Just anything I'll stop there.

Gary G. Friedman
Chairman & CEO

I'll comment and then I'll turn it over to Jack. If you want the level of detail you're looking for, why don't you come work on our SG&A team. You could help them with all the modeling. I talk about ad costs and some of the changes.

Jack M. Preston
Chief Financial Officer

Yes. I mean I think as Gary pointed out, we've mailed 2 books in Q1. So between the outdoor book and the interiors book, you have an expense there.

Gary G. Friedman
Chairman & CEO

Yes, incremental over a year ago...

Jack M. Preston
Chief Financial Officer

Incremental over a year ago where you just sort of have the outdoor. So that's -- we always say that the quarter-to-quarter differences, there's a lot of that variability that's driven by the ad costs. So you're seeing that. And then as far as whether it's happening in gross margin and SG&A, look, the guide speaks for itself at the operating income level. And I think we don't guide those pieces but there's obviously positive factors in both lines. I just can't -- we can't speak to the magnitude just based on how we're guiding in our approach.

William Andrew Carter
Stifel, Nicolaus & Company, Incorporated, Research Division

Fair enough. Just thinking about more of a high level, you kind of said it today, but like do these tariff announcements against like your competitors where you're going premium really create anybody that has an advantage? I know you mentioned Ethan Allen earlier that had some domestic. But if you consider like your true competitors like people -- and you have a lot of people coming out of Europe, you have some niche here. Are they really at any kind of cost advantage here today that you have? Or just any kind of help with that?

Gary G. Friedman
Chairman & CEO

No, I don't think anybody had a cost advantage from us. I mean we're buying at the biggest scale at this quality in the world. And we can do that because we have the biggest platform. So when you think about a lot of the higher-end people in the business, I mean, they're relatively small because they don't have a platform, right? And many of them are selling wholesale, they don't control the platform, they may have a few stores. But no one's got a platform like ours.

So no one has the buying power that we do or can take the risk that we can and negotiate the prices that we can. And so yes, again, the playing field is pretty level, right, at least in North America. And for people that are European-based coming to America that's not good, right, Especially their manufacturing-based business because they're 100% tariff. So we can just -- there's a lot of moves we can make, right? We can move more upholstery, we could look at bringing up wood furniture operations. I think the most difficult one today is teak furniture out of Indonesia. Indonesia is the capital of premium teak, sustainably hardest teak in the world.

And other countries, it's a little dicey and it's definitely not the same quality. So that's why -- I mean, forever, that I -- all my life in this business, the best quality, the biggest teak resource in the world is in Indonesia, that's a harder one to kind of navigate out of. And -- but then again, we're kind of the biggest and the best. So if you want real teak furniture and you don't want -- some people are like doing mahogany. Mahogany is not going to last outside. It's like much cheaper wood. They're doing Acacia wood. They're doing Rubberwood, Nyatoh wood, eucalyptus wood. I mean, all nice trees, don't get me wrong. Just not great wood for outdoor furniture.

If you want it for 3 years or maybe 5 years in a nice climate, 3 years in a rough climate, yes, that's great. You're just going to keep buying new outdoor furniture, it looks like c*** after a few years. So why we don't sell any of that stuff. But again, that -- and I can't see anybody doing anything that's going to hurt our position in the market. I mean just may mean peak furniture is a little bit more expensive, but it's -- what was the Indonesia number?

Jack M. Preston
Chief Financial Officer

Tariff? 32%.

Gary G. Friedman
Chairman & CEO

Yes, 32%. I mean we dealt with these kind of tariffs out of China. I mean you figure out how to be more efficient, you figure out how to work better. As humans -- I'd like to say humans without deadlines are useless, right? We're no good without deadlines. We're not good without pressure. It's why the great athletes perform in the playoffs, not necessarily their best in the regular season, although Steph Curry did have 12 3s and 52 points last night. I was happy about that, but it's getting close to the playoffs and it was against one of their rivals, right?

So you see like we're kind of one of those teams like we're great in the playoffs, we're great under pressure. And humans generally are better under pressure. But you're going to see who's really good in times like these. So we're excited. This is like an exciting time. I mean I'm not worried about God, are we going to be okay? Or do we have to raise money and do it now? Like we're good. I mean I do not think this is going to be -- like it's going to bring the whole economy down.

I think there's going to be pain. I told everybody I know and I think that when you kind of saw where this was going that, look, there may be pain for the next 12 to 18 months or 24 months. And -- but I think the second half of this administration's tenure here is -- could be a booming American economy. So I think the key is how do you position yourself for the other side of that? How do you navigate correctly now? How do you optimize your business and your sourcing structure, just all aspects of the business. And there will be better times and better days. So there always are.

Operator

We'll take the next question today from Thomas Bradley, KeyBanc Capital Markets.

Bradley Bingham Thomas
KeyBanc Capital Markets Inc., Research Division

It's Brad Thomas. Gary, I wanted to ask just about the international side of the business. And I'm wondering what you're seeing in terms of trends there. Wonder the degree to which you worry about any backlash about American perceived brands and how you think about the openings that you have this year? And what risk, if any, there might be inside [delays some]?

Gary G. Friedman
Chairman & CEO

Yes. Those are all really good questions. I mean I was talking to my wife last night, like, hey, if this really goes sideways, I mean all of Europe, sure we're going to go to Italy in the summer. No. But if there's going to be some kind of weird backlash. We were all thinking the same things like, okay, I mean, look, what's happening to Tesla, like it's crazy, right? I mean you have a world that's alive on the Internet, right? And like tweets and messaging and social media and news and I'm sure this is going to create noise. But I don't know. It's -- I think it's -- communication is really key right now. Messaging is really key right now.

I thought it was interesting how Trump was holding up the big sign with this is how much we're getting tariff, right? And we're just trying to balance the thing out. I think hopefully, that image and that time will get to people in other countries, and they'll also put some pressure on their governments to kind of level the playing field. Again, I'm just thinking out loud with you, give you -- like we've been thinking about this. I don't think -- I think we underestimated the size of this move. But I'd rather have this happen than 4 moves to get there and a long drawn-out thing.

I think this is going to get us to a conclusion much faster, a much clearer conclusion. There is now kind of a -- it's a global negotiation. It's not this country now and what's the next country and where are we going next? It's all laid out there, right? It's completely laid out there for everyone to see. So everyone in every country, I don't think they were making up those numbers. I don't think the administration got a bunch of numbers that aren't true. I mean I hope not. I mean that would be a whole different issue, right, like fully capped.

But I think the move is a well-played move. It's -- the information is out there. The logic is out there. The intention, the desire is clear. It's not that this administration wants tariffs, they want trade balance. I don't even think they're trying to get complete balance. It's just way out of whack. So will there be some backlash? I'm sure we're going to read about stuff in American businesses with picketers or somebody throws a fire bomb through a window somewhere, I don't know. That's just the world we live in today.

But as it relates to us, construction delays, things like that, will they be any different than building the kind of buildings we have? We always have construction delays. So yes, I don't know. But none of that is going to make a big deal. Those are all on the fringe on the edges. I don't think the backlash is going to be a big deal. We're not doing that much volume out of Europe today anyway.

I hope things kind of get more clear and the world kind of a more balanced place from trade and from conflict in by the time we opened Paris because we're all planning to open [during Zondo J], which is one of the biggest home shows in the world, will be -- all the most influential designers and other people will be there, and it's time when everybody goes for all the antique markets and flea markets, and we were going to open in Paris that week. And so the world could see -- the design world could see RH Paris. And I hope there's not pickers upfront there. And I hope by saying that, that I didn't all of a sudden create pictures up. But it's a long way off. It's not happening in the next couple of weeks. So -- but now we're giving you our best insights here, right? This is -- I have no script in front of me. And that's probably a firm grasp of the obvious.

Bradley Bingham Thomas
KeyBanc Capital Markets Inc., Research Division

That's very helpful, Gary. And if I could just ask a follow-up on the topic of clearance activity. That's been something going on as you've been transitioning the assortment. How should we think about clearance activity going forward here?

Gary G. Friedman
Chairman & CEO

Yes. I think about clearance in relationship to the economy, right? In good markets, you're going to see less clearance. In bad housing markets, you're going to see more clearance, not just here, everywhere. And then we've got another layer that just relates to the amount of new products that we're bringing in, I always talk about the products in thirds, right, top third, middle third, bottom third. That's how we communicate here with each other. Is this collection to be in the top third? If it's in the top third, it will pull the whole company up, right? If it's going to be in the middle third, if it's in the top and middle third, it will pull you up a little bit. Bottom, middle third might pull you down a little bit. If it's in the bottom third, it's going to pull you down.

And so if you bring in 100 new collections, can you -- they're going to be in thirds, right? There's going to be top third, middle third, bottom third. Bottom third, you're going to rank against all the other assortments, not just against all the newness. And if you lift the whole thing up, if everything lifts, then there's going to be some of those things you would keep versus markdown. But you're also just going to keep -- I would have thought we would have been transitioning through more of our sales collection sooner, but I thought the housing market was going to get better, too. And so the housing market actually got kind of worse for a period there, right, when interest rates spiked and mortgage rates -- mortgage applications fell 22%.

And I think that it's probably a good chance the housing market slows a little bit from here as people digest this information. It will be interesting. I don't know what kind of day we're having today. We can give you a live read of our business now. I'm getting thumbs up. It's a good day. Okay. That's not demand guidance, by the way. But it's a thumbs up. You got a thumbs up. My team give us a thumbs up on the live read. So yes, like we're just really well positioned right now. I think that's the headline. Like if you're going to bet on somebody in this race, and I like what's our stock now? I mean I guess the stock went down based on some of the numbers we reported and then it got killed because of -- oh really, oh s***, okay.

I just looked at the screen. I hadn't looked at it. It got hit when I think the tariffs came out. And everybody can see in our 10-K where we're sourcing from. So it's not a secret, and we're not trying to disguise it by putting everything in an Asia bucket. So you can kind of figure it out and do the math and -- but I can tell you that anybody else that has scale in the home business. I don't know -- again, put someone like Ethan Allen or some of the domestic like smaller players like [Bassett] or something like that, put some of those people aside if they own more of the manufacturing, but not really, I'd say, that big of a competitor with us anyway.

So -- but anybody of scale in the home business has a high percentage of their content coming out of Asia. Anybody says they don't, like that just shock me because I've looked at everybody's reporting. I know most of these businesses pretty well. I've been studying them and watching them and hiring people from them. So we're all in the same boat, right? We might be going at different percentages out of different countries, people move different places. I think the people really that I feel worse for right now is all the manufacturers in China or people who are invested there, like that moved manufacturing, moved their lives, did things moved out of China into other places and spend a lot of capital, have a lot of disruption, it cost them a lot of time and capital. And all of a sudden is like, wow, I'm not really going to be better off because they might have been better off in China with higher tariffs and more efficiency and less capital.

So I think this move is quite stunning, right? It's going to force everyone to just play a different game. Like rather than sequential hit, like let me hit Vietnam and then I'm going to hit this one, and then I'm going to go here, and I'm going to put more tariffs in China or I might do tariffs here, I might do Europe. I mean, we have a long-term sourcing strategy that we think is a really good one. We haven't announced it.

It's big and bold, and it probably seems like it might be the right thing for the rest of the world. But I don't really know where that -- where this whole negotiation is going to end up. It might end up in a much better place than it appears to be today. But still the long-term sourcing strategy that vision that we have, I think, is like a leapfrog. We don't want to talk about it because we're trying to figure it out and how you do it. And we believe it's doable, and we believe it's as big as a leapfrog as anything else we do when we focus on it.

So -- but we're just going to play our game. We're going to keep narrowing our focus. And as I said, like around here, we talk about being an inch wide and a mile deep, right? Like in times like this, this is -- you might want to take the inch and turn it into a 0.5 inch and go 1.5 mile deep like this be really, really clear, be really intentional and allocate human and financial capital with great precision.

Operator

Your next question comes from Jonathan Matuszewski, Jefferies.

Jonathan Richard Matuszewski
Jefferies LLC, Research Division

My first question was a follow-up on the clearance activity topic. And was just hoping to better understand maybe how those markdowns have been fueling maybe the acquisition of new customers for RH versus incremental spend from existing customers. It looks like in the 10-K, the year ended with 265,000 members to down a bit versus the prior year. So just trying to kind of understand that relative to the increase in revenue.

Jack M. Preston
Chief Financial Officer

Member count was down.

Gary G. Friedman
Chairman & CEO

Yes. Again, I did think that at a high level, at a macro level, you're just going to have more markdowns in a down market. And not just because less people are buying because you should have them or your sales will be lower. It's just kind of simple. People buy less things in a bad market, and they will buy more things on sale. It's really simple.

In 2008 and '09, Great Recession, everybody in our category sales went down 35% to 40%. We promoted, got more on promotion and as we should, and we were able to stabilized the business to down 15%. And you can go back and look at this because Ethan Allen used to be, I think, $1.2 billion, and they decided not to promote and we're regular price, and they went down 40 comp.

And their business shrunk to somewhere, I think, slightly below $600 million or somewhere around $600 million. They lost almost half the business or over like a 2-year period. And that was how many years ago, 18 years ago, 17 years ago, they've never recovered, never recovered. 18 years later, they're not a $1 billion company anymore.

So you got to really be careful and not be arrogant and think like, oh, I think you're a luxury fashion brand. That's not how the furniture market works. So as far as the member count year-over-year, I mean not a big variance in anything. It's not -- yes, I mean, things generally track with our business, right, with our demand and revenue. So again, when you zoom out here and you look at where we're performing and where we're guiding versus everybody else, I like what we're doing better than anybody else.

Jonathan Richard Matuszewski
Jefferies LLC, Research Division

Yes. That's really helpful, Gary. And just a quick follow-up question. In terms of the sourcing diversification, it sounds like you're looking to bring half of your sourcing -- near half of your sourcing to the U.S. by the end of the year, probably could drive some improvement in the consumer experience in terms of maybe delivery speed and maybe some other factors. Could you just kind of comment on that in terms of ancillary benefits for the consumer from what you're doing from a sourcing perspective?

Gary G. Friedman
Chairman & CEO

Yes, that's the upholstery category. That's not our entire business, right? So that says our upholstered furniture business, which is one of our biggest categories and that -- yes, that's what we're doing.

Operator

Next up, we'll take a question from Seth Basham with Wedbush Securities.

Seth Mckain Basham
Wedbush Securities Inc., Research Division

I'm just taking a quick step backwards looking at the fourth quarter, if you could give us some perspective on the margins in the quarter relative to your expectations that came in a bit light, where sales were still at the low end of your guided range. Any perspective on what happened from a margin standpoint in the quarter would be great.

Jack M. Preston
Chief Financial Officer

You mean our operating margin coming in relative to the guidance?

Seth Mckain Basham
Wedbush Securities Inc., Research Division

Correct. Any details you want to give...

Jack M. Preston
Chief Financial Officer

Yes. No. Yes. I mean, look, we're still, I'd say, product margin still up year-over-year in the quarter and some expenses came in higher than expected. But other than what's called out an MD&A set, Seth, we can look at that later. I don't have any specific color at this time.

Seth Mckain Basham
Wedbush Securities Inc., Research Division

Okay. And just thinking about the timing of costs in 2025. You talked about higher advertising costs year-over-year in the first quarter with an extra source book. And when we think about advertising for the balance of the year, should we be thinking about it being down relative to the last 3 quarters of last year or any other transitory costs that you would call out as we think about the quarterly cadence?

Gary G. Friedman
Chairman & CEO

Yes. We're not guiding advertising, but I think I'd just look at the operating margin for the year and the adjusted operating margin, what that looks like, that incorporates our views of advertising. So I think the first quarter is obviously, I think, the highest quarter from an ad cost point view.

Operator

The next question is Brian Nagel, Oppenheimer.

Brian William Nagel
Oppenheimer & Co. Inc., Research Division

So maybe just a simple question to start. I don't think we've discussed it. Could you talk at all about just the trend in your business through the fourth quarter and then maybe into Q1 here?

Gary G. Friedman
Chairman & CEO

Yes. We said we were only giving kind of demand guidance for last year. So we're not giving it this year, Brian, but...

Jack M. Preston
Chief Financial Officer

And Gary, in the third paragraph of his letter did talk about the trends inside the fourth quarter.

Gary G. Friedman
Chairman & CEO

Inside the fourth quarter, yes.

Jack M. Preston
Chief Financial Officer

With demand ending up in the core business, Sept '21, and he gave you some color because you had it from the December call, where we were heading into the call and where it stabilized in January of '19. So you can kind of read some of those trends in the quarter, but we're not giving any further demand guidance as it relates to this quarter going forward.

Brian William Nagel
Oppenheimer & Co. Inc., Research Division

Okay. That's fair. And I guess my follow-up question, bigger picture. I know we've been discussing obviously tariffs a lot, but recognizing, I mean it is an extraordinarily fluid environment, okay? And I think you made the first company addressing this after the announcement from the White House. But I guess the philosophically, as you look at this and with sourcing cost is presumably going somewhat higher, how do you -- where do you kind of shake out? Is it more -- do you think you have more going to kind of adjust prices here in the United States? Or do something on the sourcing side, either negotiate with your vendors or move the sourcing around?

Gary G. Friedman
Chairman & CEO

It's all of the above. It's no different than navigating through the China tariffs and so on and so forth. And everybody is in the same boat. No one is not exposed to this. Will there be impact to the consumer, of course, there will Yes. I mean -- but there will be concessions on the manufacturing side. There'll be some concessions on our end. We'll look for efficiency in our business. We may consolidate to fewer vendors to get more leverage and costing, all kinds of things that you do in these kind of situations to optimize, right?

And so it's -- this is not -- again, there's no one to escape this. That's what I like. So it's not like, oh, we hit this place. And now people move to that one. And then they hit that one and then -- it's crystal clear. It's -- that's what I love. There's real clarity right now. Now is it going to change in the next week or 2 or 3 because there's going to be concessions, I think so. There's going to be ongoing things like that for several months or we might be in a 3-month negotiation period, 6 months.

What I feel good about seeing us is the inventory investment we made and the heavy inventory we have is at a good price for the first time in my career, extra inventory is my friend. So I think we might be the only one positioned the way we are because of the product transformation we are going through. So I mean we're going to have to work with our partners. There's things that are in flight that are being produced and we'll have to take some inventory with tariffs and -- but I would say as a percentage of other people, it's going to be much smaller. So I think we start with an advantage. I like that.

And we've been doing this. I don't think there's anybody that's -- no, they're serious, yes. Guys, Ethan Allen might have been doing this longer than I have. We have a lot of experience around the table here. We've been doing this a long time, and some of us at multiple companies similar to this one. And so we know the game as well as anybody. We know the countries as well as anybody. We have unbelievable partners around the world. And we're on the same team, right? This is a time of thought reflection, collaboration and no -- I don't know what else to stay. I mean it's a good time to be RH, even though it looks like a bad time. That would be the missed view.

Looking at other times of crisis, and who's come out the other side really well. I think we have -- and we have when we had a lot less resources and a way less dynamic strategy than we have today. So yes, it's also time to decide what's nice to do and need to do. And you really want to focus on the need to do and he's super disciplined. And about time and capital. Time is the most important thing we allocate. So just thinking about where we're going to focus in light of this new situation and understanding that the situation is going to change. We can't see it yet. But it's a big clear move. That's the best thing.

So it's crystal clear what the administration is trying to do. Crystal clear, and I thank them for that. Yes. I thank them for not like kind of playing a hodgepodge game all over the place and being really on focus. This is a really clear and focused move. They've thought about this deeply and for a long time. I mean that's what it looks like. I don't know anybody inside there. I'm not going to tell you which way I voted like -- it's a dangerous thing to do in this world today. It's almost dangerous as driving a Tesla. Just kidding, Jack. But we're good at what we do here. And we're getting better all the time. This is just another one of those opportunities to learn and grow and invent and innovate and leapfrog to another better place that we can't even see yet.

Operator

Your next question is from Cristina Fernández, Telsey Advisory Group.

Cristina Fernández
Telsey Advisory Group LLC

I wanted to ask a question about product newness. As you look at what's coming in for 2025 to drive demand, where do you see the most incrementality? I'm thinking the interior sourcebook that was mailed this year seemed like you have a lot of newness, but I know you also have some things planned for the back half. So can you share some thoughts on where do you think will be the most significant ones?

Gary G. Friedman
Chairman & CEO

Yes. Look, I think just start with what we have right now. We're nowhere near optimizing the assortment we have right now, right? Like again, you -- everything that any retailer buys, they buy it 100% wrong. Nobody buys at 100% right. I mean there's some degree of wrong that you have with every buy. So nobody knows exactly what the best seller is going to be and how much to buy and so on and so forth. So we have so much newness that we're optimizing so much opportunity to get those products into our galleries presented right. We have so much opportunity to look at how we're presenting things and marketing things throughout the company on and on and on.

So it's -- I would say just at a global level, at a macro level in our industry, at our competitive set, you're going to see a lot less newness this year or it's going to be really expensive newness. Yes, we have. So that's why I'd say I'm really happy about the inventory position we're in because I think we can really cut back on receipts until we have clarity. We may -- we'll probably still work from a development point of view because it's not going to be clear where the tariffs will really land long term. So it's not like you want to just stop everything. I think there's some level of investment you still want to make from a product development point of view and be prepared.

But I think that every business that's being affected by this is got to think differently. This is -- yes, this is forced change. This isn't elective change. This isn't like, hey, work from home if you feel like it. There's no escaping what just happened. So it's going to be -- the best people are going to -- are the ones who are going to win in environments like these.

So yes, like newness is just one aspect at optimizing what we have, looking at other levers and what we're doing, and we've got a lot of new galleries and new things coming. I say -- is there a risk we push out the new concept? Maybe. Yes, there's -- but there's also a good chance that things resolve themselves in 4 to 8 weeks and go, nothing really changed that much, except for the framework of the global trading policies. So I don't know. I wish I had a crystal ball, but it's more fun when you don't.

Cristina Fernández
Telsey Advisory Group LLC

Got it. And then my second question, the London store is being delayed to 2026. Can you talk about, I guess, what the reason for that is? And does that would imply that some of the investments get pushed out to 2026?

Gary G. Friedman
Chairman & CEO

Yes. It's doing big complex development jobs. Yes, things don't -- if anybody here, if you've ever remodeled a home, nothing really goes right. Nothing is really on time. Everybody says, if you build a house, it's twice as long and twice as much. Then there's people tell you, 3x as long, 3x as much. Imagine stringing together 4 buildings in London and creating 1 harmonious shopping experience and doing things at the level that we do right in the heart of Mayfair. There's just complexities. There's just things that don't go exactly to schedule, no matter how hard you push and what you do. So just kind of some things get done a little faster, some things come online faster, some things take longer.

Yes. And could we really rush and spend more money and try to get it open in December? I mean could. I just don't think the best time to open in mid- to late December. So we'll probably open it sometime early spring or something like that. But we'll keep you posted. We're not stamping out mall stores where you just build the store front and kind of fill up a windowless box with some fixtures like that's easy to do.

When I was at my former company, and we were -- we could stamp out a store in 12 to 18 weeks, yes, it's really simple. The storefront that was 40 feet wide and 50 feet wide and 100 feet deep, 5,000 feet or maybe even 10,000 feet. I mean these are really big complex kind of investments and leapfrogs for the company.

No one will ever build -- I don't believe anybody will build a platform anywhere comparable to what we're building, for sure, not in my lifetime. But you might not see something like this for another 100 years, if then. The complexity, the cost, the investment you've got to be able to perform in spaces like these. And we've proven as we kept expanding and dimensionalizing our physical platform and incorporating hospitality and incorporating interior design services and offices and all kinds of support, indoor/outdoor space, rooftops, garden, courtyard and all the things we do, no one builds anything like that. No one in the world builds anything close to what we do. So it's more complex. And plus we're constantly innovating. So there's -- it's just less stamping things out. That's what happened. I haven't seen anybody has ever been on time with a kitchen remodel.

Operator

And everyone, at this time, there are no further questions. I'd like to hand the call back to Mr. Gary Friedman for any additional or closing remarks.

Gary G. Friedman
Chairman & CEO

Great. Well, thank you, everyone, for your time. I said at the beginning, welcome to a new world. And the quote I used from Theodore Roosevelt, "Every movement has its lunatic fringe," I think, is quite appropriate. But let's not -- let's just characterize what's happening in the external environment, it really is what's happening in the internal environment here that we are the men and women in the arena and we are the ones who will do the good deeds. And we will err and come up short from time to time, but we will also do some extraordinary, remarkable and amazing things. And that's what we believe we're on the planet to do and we believe we'll create one of the most admired brands in the world, if not the most admired.

So -- but it's long-term thinking, and it's being an inch wide and a mile deep. And you'll see us get even more focused and more intentional in times like these. So I want to thank our team members around the world, our partners around the world, all of our team members here at the center of innovation and our campus in Corte Madera, California. I think the work we've done this past year in 2024, it's extraordinary, the strategic separation we've created is unlike anyone else in our marketplace. And our stock is going to go up and down. I've been here 25 years. I was here when it was $0.50 a share and adjusted for the number of shares we have, that was probably a $0.05 a share.

And so when you think about it as a long term, you think about it like you're an owner and you own 100% of the company, you make the kind of decisions that allow you to do the kind of work we're doing for 25 years of your life. And I feel privileged to be here to be doing that. And I feel privileged and proud to be doing it with the people and partners of Team RH. So as I like to say, never underestimate a few good people who don't know what can't be done, especially these people. So carpe diem, everyone.

Operator

Once again, everyone, that does conclude today's conference. We would like to thank you all for your participation today. You may now disconnect.
